*GNI = GDP + Net Primary Income from Rest of the World (ROW)*

The word net indicates receipt of resident institutional units less payment to non-resident institutional units. The word Rest of World indicates area lying outside the economic territory.

The press note on New Series Estimates of National Income, Consumption Expenditure, Saving and Capital Formation released by Ministry of Statistics and Programme Implementation, Government of India, dated January 30, 2015, has the formulae for various measures of national income. As per this note the formula for GNI is,

*GNI = GDP + Net Primary income from Rest of the World (ROW)*

It has formula for net primary income from Rest of the World also. As per this note the Net Primary Income from Rest of the World (ROW) has two components. They are Net Compensation of Employees and Net Property and Entrepreneurial Income. In formulaic form it is written as follows:

*Net Primary Income from Rest of the World (ROW) = Net Compensation of Employees + Net Property and Entrepreneurial Income*

Hence,

*GNI = GDP + Net Compensation of Employees from Rest of the World (ROW) + Net Property and Entrepreneurial Income from Rest of the World (ROW)*

The Net Primary Income of the government is not accounted as per the above formula. The press note didn't elaborate the reason for the same.

If Net Primary Income from ROW is positive GNI is higher than GDP and vice versa.

*GNI > GDP if Net Primary Income from ROW is positive.*

*GNI < GDP if Net Primary Income from ROW is negative.*